

Non-Performing Exposures Securitisation (CRR)

Effective Date: 03-03-2026

Source: <https://www.prarulebook.co.uk/prarules/non-performing-exposures-securitisation-crr/03-03-2026>

Type: PRA Rule

Scraped: 2026-03-02 20:49

1

Application and Definitions

1.1

This Part applies to:

1. (1) a [CRR firm](#); and
2. (2) a [CRR consolidation entity](#);

for the purpose of its obligations under Parts Two and Three of the [CRR](#).

- 01/01/2022
- [Future version of 1.1 after 01/01/2027](#)

1.1A

1. (1) A [firm](#) must comply with this Part on an individual basis.
2. (2) A [CRR consolidation entity](#) must comply with this Part on a consolidated basis, and for this purpose, references to a [firm](#) in this Part (other than in [1.1](#) and 1.1A) are to a [CRR consolidation entity](#).

- 01/01/2022
- [Future version of 1.1A after 01/01/2027](#)

1.2

In this Part, the following definitions apply:

[Non-performing exposure or NPE](#)

means an exposure that meets any of the conditions set out in Article 47a(3) of the [CRR](#).

[non-refundable purchase price discount](#)

means the amount arrived at by subtracting the amount referred to in point (b) from the amount referred to in point (a), where:

1. (a) is the outstanding amount of the underlying exposures of the [NPE securitisation](#) at the time those exposures were transferred to the [SSPE](#); and
2. (b) is the sum of the following:
 1. (i) the initial sale price of the tranches or, where applicable, parts of the tranches of the [NPE securitisation](#) sold to third party investors; and
 2. (ii) the outstanding amount, at the time the underlying exposures were transferred to the [SSPE](#), of the tranches or, where applicable, parts of tranches of that securitisation held by the originator.

Where a discount is structured in such a way that it can be refunded in whole or in part to the originator or the original lender, such discount shall not count as a non-refundable purchase price discount.

[NPE securitisation](#)

means a securitisation backed by a pool of non-performing exposures the nominal value of which makes up not less than 90% of the entire pool's nominal value at the time of origination and at any later time where assets are added to or removed from the underlying pool due to replenishment or restructuring.

[Qualifying NPE securitisation](#)

means an [NPE securitisation](#) that is a [traditional securitisation](#) where the [non-refundable purchase price discount](#) is at least 50% of the

outstanding amount of the underlying exposures at the time they were transferred to the [SSPE](#).

[SSPE](#)

has the meaning given in the Securitisation Part.

[traditional securitisation](#)

has the meaning given in the Securitisation Part.

- 01/11/2024
- [Past version of 1.2 before 01/11/2024](#)
- [Future version of 1.2 after 01/01/2027](#)

2

Calculation of Risk Weight

2.1

Subject to [2.2](#) and [2.4](#), the risk weight for a position in an [NPE securitisation](#) calculated by a [firm](#) in accordance with Article 254 or 267 of the [CRR](#) is subject to a floor of 100%, save where Article 263 of the [CRR](#) applies.

- 01/01/2022

2.2

Where the risk weight for a [qualifying NPE securitisation](#) is calculated by a [firm](#) in accordance with Article 254 or 267 of the [CRR](#), the [firm](#) must assign a risk weight of 100% to the senior securitisation position, save where Article 263 of the [CRR](#) applies.

- 01/01/2022

2.3

A [firm](#) that applies the IRB Approach to any exposures in the pool of underlying exposures in accordance with Chapter 3 of Title II of Part Three of the [CRR](#) and that is not permitted to use, or does not use, own estimates of LGD and conversion factors for such exposures, must not use

the SEC-IRBA for the calculation of risk-weighted exposure amounts for a position in an [NPE securitisation](#).

- 01/01/2022

2.4

By way of derogation from [2.1](#) and [2.2](#), save where [2.3](#) applies, a [firm](#) may calculate the maximum capital requirement for a position in an [NPE securitisation](#) in accordance with Article 268 of the [CRR](#).

- 01/01/2022